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IN THE TAX APPEAL COURT OF THE STATE OF HAWAI‘I

CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY,
Taxpayer-Appellant.

IN THE MATTER OF THE APPEAL of

CASE NO. 1CTX-21-0000001

AMICUS CURIAE MEMORANDUM IN SUPPORT OF APPELLANT

The State of Hawaii Department of Taxation ("Department") has moved to dismiss Appellant's appeal as it relates to general excise tax, asserting that there is no assessment supporting its assertion of liability and thus no subject matter jurisdiction for an appeal.

The grounds for the Department's assertion, however, are dubious. The Department avers that the Final Notice of Personal Liability under section 237-41.5, HRS, was not notice of an "assessment." It argues that without an assessment, section 237-42, HRS, cannot apply, and this Court lacks jurisdiction over the appeal from that notice.

This conclusion is contrary to law and policy. The Department seeks to create a class of taxpayers for which the usual procedures of assessment and appeal do not apply, so that the taxpayer is forced to prepay the tax prior to appeal and give up the appeal if they cannot do so.

A. Standard of Review

Subject matter jurisdiction is a question of law, the decision of which is based on the contents of the complaint, construed in the light most favorable to the plaintiff; dismissal is improper unless it appears beyond doubt that the plaintiff can prove no set of facts in support of a claim for relief. *Tax Foundation of Hawaii v. State*, 439 P.3d 127 (2019) (quoting *Casumpang v. ILWU Local 142*, 94 Haw. 330, 337, 13 P.3d 1235, 1242 (2000)).

The Hawaii appellate courts have consistently adhered to the policy of affording litigants the opportunity to have their cases heard on the merits, where possible. *Lewis v. Kawafuchi*, 108 Haw. 69, 74, 116 P.3d 711, 716 (Ct. App.), cert. dismissed, 108 Haw. 160, 118 P.3d 70 (2005). Doubt as to this Court's jurisdiction should be resolved in favor of the taxpayer. *Narmore v. Kawafuchi*, 112 Haw. 69, 82, 143 P.2d 1271, 1284 (2006).

B. An "Assessment" Is an Official Recording of Liability, Which Occurred Here.

As the State has pointed out, "assessment" is not defined in the General Excise Tax Law. It is commonly understood as an "official recording of a taxpayer's liability, which occurs after information relevant to the calculation of that liability is reported to the taxing authority." *Direct Marketing Association v. Brohl*, 135 S. Ct. 1124, 1130 (2015). The Supreme Court refers to it as the step between information gathering and enforced collection action. *Id.*

The General Excise Tax Law is consistent with that formulation, providing a period of limitation of three years after the filing or due date of the return within which the department must assess, and then a limitation period of fifteen years after assessment beyond which the Department is prohibited from collection action. Section 237-40(a), HRS.

Under this definition, this Appellant has been assessed. Before any official action by the Department, Ms. Parry was not listed as owing the State of Hawaii any part of Kailua Print Shop's obligations. The Final Notice of Personal Liability, Exhibit A to the State's Motion, recites, "A determination has been made in accordance with sections 237-41.5, Hawaii Revised Statutes, that you are personally liable for General Excise Tax of KAILUA PRINT SHOP L.L.C.," and the Appellant is listed as owing the State $79,596.16. Whether the circumstances leading to the assessment fit neatly in the boxes described in sections 237-36, 237-38, or 237-39, HRS, is of no consequence. This Appellant has become a debtor by official action of the Department. That official action is an assessment.

C. The History and Text of the Appeal Provision, Section 237-42, HRS, Show that the Legislature Intended that a Taxpayer Be Allowed an Appeal Prior to Prepayment.

The General Excise Tax Law used to require taxpayers to prepay the tax before appeal, and our supreme court held that it was constitutional for the legislature to so provide. *In re Simpson Manor, Ltd.*, 57 Haw. 1, 548 P.2d 246 (1976). This rule was changed by Act 199, SLH 2000, to permit Board of Review appeals without prepayment, and then by Act 123, SLH 2004, to permit Board of Review and Tax Appeal Court initial appeals without prepayment.

When section 237-42, HRS, was amended in 2000, the Conference Committee stated the policy behind the amendment:

> The purpose of this measure is to ease the financial burden on a taxpayer who is appealing a tax assessment to a District Board of Review.
>
> Specifically, the measure lifts the requirement that taxpayers who are appealing a general excise, transient accommodation, use, fuel, liquor, tobacco, conveyance, or rental motor vehicle surcharge tax assessment, first pay the tax prior to an appeal to the District Board of Review.
>
> Your Committee finds that requiring a taxpayer to pay a tax assessment as a condition precedent to appealing the assessment to the District Board of Review may place an undue burden on certain taxpayers.
>
> …
>
> Your Committee believes that the measure will benefit certain taxpayers without causing undue hardship upon the State. Your Committee would also like to note its intention that a taxpayer who appeals to the District Board of Review should not be required to pay the tax assessed so long as the person prevails in the judgment of the Board of Review.

Conf. Comm. Report No. 110 (2000).[1]

In 2004, the legislature's committee reports evidence similar, and somewhat broader, policy:

[1] Available at https://www.capitol.hawaii.gov/session2000/commreports/SB2946_CD1_SCCR110_.htm.

> Your Committee finds that it is appropriate to eliminate the payment of taxes upon appeal to the Tax Appeal Court, in a manner similar to that now allowed upon an appeal to the Board of Review. This will allow taxpayers an opportunity to appeal to either the Board or the Tax Appeal Court without paying assessed taxes. This is similar to the federal Tax Court procedure where no payment is required to appeal to the Tax Court, but if the taxpayer appeals from a Tax Court decision, then taxes and interest must be paid.
>
> Your Committee finds, however, that appeals by the taxpayer after a judgment against the taxpayer at the Board of Review, or the Tax Appeal Court should be permitted only after paying the outstanding tax assessment. Your Committee notes that during the 1980's a number of large tax appeals were taken in which the State was the recipient of large sums of taxes that had been paid into the litigated claims fund during the lengthy tax appeal process. Those cases were *Bacchus Imports, Ltd v. Dias*, 468 U.S. 263 (1984) involving more than $100 million, *Aloha Airlines Inc. v. Director of Taxation*, 464 U.S. 7 (1983) involving more than 26 million, and the domestic insurance rate cases involving more than $18 million settled in favor of the State. Even though in some instances the taxpayer won on appeal, the State received the majority of the moneys paid into the litigated claims fund during the process, in addition to all of the interest thereon. If the requirement that the payment of taxes to appeal was totally repealed, in many instance the State would not be able to collect the outstanding debt from the losing taxpayer. In all likelihood, the debt would be too large and the taxpayer would go into bankruptcy due to inability to pay. This would be reflected in the loss of state revenues. Your Committee also notes that in 1992 (Act 147, Session Laws of Hawaii 1992), the Legislature required taxes of all types to be paid in order to appeal.
>
> Your Committee finds that the balance in the litigated claims fund has recently ranged from $200,000 to $16 million and that the State wins more tax appeals then it loses. Payment of taxes at some point in the appeal process will eliminate frivolous appeals and prevent abuse of the tax appeal system. The payment of taxes upon appeal by the taxpayer after the first hearing should be the rule in Hawaii.

Sen. Stand. Comm. Rep. No. 1366 (Comm. on Ways & Means 2004).[2] The Conference Committee that year added that the bill would "amend the provisions for tax appeals to provide that first appeals to either the district board of review or to the tax appeal court may be made without payment of the tax so assessed. Your Committee finds that this is a fair and equitable

[2] Available at https://www.capitol.hawaii.gov/session2004/commreports/HB851_SD1_SSCR1366_.htm.

provision." Conf. Comm Rep. No. 131 (2004).[3]

This legislative history clearly evidences a shift away from the "pay to play" rule that used to apply to all taxes under Act 147, SLH 1992, and adoption of a new rule allowing taxpayers one appeal without prepayment.

D. A Determination of Liability Under Section 237-41.5 Cannot Escape Being an "Assessment."

Most of chapter 237, HRS, is devoted to imposing liability on taxpayers, and action to collect that liability generally requires that a taxpayer first be assessed and given appeal rights. The State argues that section 237-41.5, HRS, somehow creates liability differently from the rest of chapter 237, but its arguments are not convincing.

The State points to section 232-1, HRS, which gives appeal rights to a person contractually liable for a taxpayer's tax, and notes that in that situation no assessment is required against the indemnitor. Of course not; the contract creates that liability. No such contract has been alleged to exist here.

The State then points to section 235-64(b), HRS, which expressly gives the Department the ability to assess responsible persons of employers with respect to withholding taxes unpaid by the employers. It reasons that because section 237-41.5, HRS, contains no comparable assessment language, the omission must have been legislatively intended and the intent must be given effect. In that argument it grossly misstates *In re Water Use Permit Applications*, 94 Haw. 97, 151, 9 P.3d 409, 463 (2000). There our supreme court recognized a presumption, stated in U.S. Supreme Court cases, that language used in different places of the same act have the same meaning. But it refused to apply the presumption in the case before it, concluding "the argument

[3] Available ar https://www.capitol.hawaii.gov/session2004/commreports/HB851_CD1_CCR131-04_.htm.

bears little weight." *Id.* Here, the State seeks to compare sections 237-41.5 and 235-68, HRS. However, the comparison is not with language stated or omitted in the same Act, but language enacted decades after the alleged comparable statute and in an altogether different taxing chapter.

Finally, the Department characterizes section 237-41.5, HRS, as merely collection of a preexisting debt. There is, however, more to the determination of personal liability. Under section 237-41.5(b), HRS, the person to be charged must have control or supervision over amounts of income collected, and the person must have wilfully failed to pay, or cause to be paid, taxes due from the taxpayer while having that control or supervision. Because these factual predicates must be established, liability under this section cannot be characterized as simply an act of collection against a preexisting liability such as the mere enforcement of a guaranty by, or a debt assumed by, the Appellant.

Instead, like the way our supreme court in *Water Use Permit Applications* decided the issue on the policy and general design of the code, this Court should note the policy and general design of the tax code and afford the same procedural protections to other persons against whom the State is asserting general excise tax liabilities. We do not suggest that the Appellant be permitted to argue that Kailua Print Shop did not owe tax. That is not Appellant's fight. But Appellant should be able to show, if she is able to do so, that Appellant had no supervision and control of money that could have paid Kailua Print Shop's tax debt, or that Appellant did not wilfully pay others, or cause them to be paid, while Appellant possessed that control.

Appellant here is the object of official action by the State turning her into a major debtor. This official act is an assessment, and the statutes require that this Appellant (and others similarly situated) be given notice and an opportunity to appeal without prepaying the tax, the

same as other persons who are by Department action listed as debtors owing the State general excise taxes.

For these reasons, the Foundation opposes the State's Motion to Dismiss and urges this Honorable Court to deny it.

DATED: Honolulu, Hawaii, February 3, 2021 TAX FOUNDATION OF HAWAI'I

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